

Fiscal Cost of Indonesia’s Data Centre Tax Incentive Regime

March 2025

Overview

Indonesia’s data centre market has attracted IDR 385.8 trillion (USD 24.4 billion) in identified investment across 49 facilities (27 operational, 12 under construction, 10 planned), encompassing 3,089 MW of capacity (526 MW operational, 2,563 MW pipeline). Three fiscal instruments apply: a CIT holiday of up to 20 years (PMK-130/2020); a post-holiday investment allowance of 30% of capex under GR No. 45/2019; and VAT plus import duty exemptions for Batam Nongsa Digital Park SEZ operators. Total cumulative fiscal cost is estimated at **IDR 130.659 trillion (USD 8.27 billion)**, equivalent to **0.590% of 2024 GDP** and 19.5% of the annual government education budget.

Table 1 — Annual and Cumulative Fiscal Cost by Instrument

Taxable income proxied at 12% ROIC. CIT forgone: 22% for non-GMT operators ($n = 28$), 7% net for GMT-subject MNEs ($n = 21$) after the QDMTT floor (PMK-136/2024, effective 1 Jan 2025). Post-holiday investment allowance applies to non-GMT entities only; QDMTT recaptures all saving for GMT operators. SEZ VAT and import duty are one-time costs at construction.

Table 1 Annual and Cumulative Fiscal Cost by Instrument (IDR Trillion; 2024 GDP = IDR 22,139T)

Year	CIT Holiday	Super Ded. ^a	Annual Total	% GDP	Cum. Total	Cum. % GDP
2025	4.024	—	4.024	0.018%	5.001	0.023%
2027	7.642	0.012	7.654	0.035%	17.927	0.081%
2030	7.366	0.090	7.456	0.034%	40.530	0.183%
2035	5.695	0.395	6.090	0.028%	74.311	0.336%
2040	4.186	0.483	4.669	0.021%	99.899	0.451%
2045	2.345	0.384	2.729	0.012%	119.782	0.541%
<i>Cumulative (all periods)</i>	118.705	10.977	—	—	130.659^b	0.590%

^a Post-holiday 5-year window: 2 years at 11% CIT + 3 years at 22% CIT. Zero net cost for GMT entities (QDMTT recapture Zero during holiday (double-dipping prohibited, PMK-153/2020 Art. 7).

^b Includes SEZ VAT (IDR 0.796T) and import duty (IDR 0.181T), one-time at construction. GDP: BPS 2024. Education APBN 2024 (IDR 670T). Rate: IDR 15,800/USD.

Table 2 — Policy Scenarios

Scenario A: expansion to 3,000 MW operational by 2030 (+2,474 MW from current 526 MW operational), requiring IDR 274.6T at IDR 111B/MW; GMT/non-GMT split 43%/57%; 10-year holiday. **Scenario B:** universal VAT and import duty extended to all operators (35% equipment share), evaluated on the same 3,000 MW/IDR 350.7T investment base as Scenario A (operational 76.1T + expansion 274.6T); incremental effect on top of Scenario A.

Table 2 Fiscal Cost Under Alternative Scenarios

Scenario	MW	Inv.	CIT	SD	VAT+Duty	Total (IDR T)	Ann. % GDP
Baseline (526 MW op.)	526	76.1	15.695	2.172	0.168	18.035	0.007%
A: 3,000 MW by 2030	+2474	+274.6	+51.243	+7.813	—	+59.056	+0.023%
<i>Scenario A total</i>	3000	350.7	66.938	9.985	0.168	77.091	0.030%
B: Universal VAT + Duty	3000	350.7	—	—	+16.401	+16.401	+0.025%
Combined A + B	3000	350.7	66.938	9.985	16.569	93.492	0.055%

CIT/SD/VAT+Duty all in IDR T (cumulative over incentive periods). Ann. % GDP = annual peak fiscal cost as share of 2024 GDP (IDR 22,139T). Scenario A assumes no new SEZ concessions. Scenario B incremental VAT + Duty (universal, on Scenario A base of 350.7T): IDR 16.401T (VAT 13.500T + duty 3.068T). Combined A + B total: IDR 93.492T.

Table 3 — Tax Incentive Cost by Data Centre

Table 3 Fiscal Cost of Tax Incentives by Data Centre (IDR Trillion)

Operator	Facility	GMT	Hol.	Inv.	Ann. CIT	Cum. CIT	SD
BDx Indonesia	CGK4 Jatiluhur	No	20	77.50	2.046	40.920	3.410
Digital Edge (Indonet)	CGK Campus	No	20	69.75	1.841	36.828	3.069
Princeton Digital Group	JC3	No	15	15.50	0.409	6.138	0.682
DAMAC Digital	Cikarang DC	Yes	20	35.65	0.299	5.989	—
Princeton Digital Group	Batam Campus	No	10	10.42	0.275	2.751	0.458
DCI Indonesia	H1 Campus	No	10	11.32	0.299	2.988	0.498
Microsoft	Indonesia Central	Yes	15	26.35	0.221	3.320	—
DayOne / INA JV	Nongsa Digital Par	No	10	6.70	0.177	1.769	0.295
Aslan Energy Capital	Aslan DC	No	10	6.20	0.164	1.637	0.273
DCI Indonesia	JK5	No	10	5.58	0.147	1.473	0.246
DCI Indonesia	JK6	No	10	5.58	0.147	1.473	0.246
Digital Edge (Indonet)	EDGE2	No	10	5.04	0.133	1.331	0.222
DCI Indonesia	H2-02	No	7	4.65	0.123	0.859	0.205
Korea Investment / Sinar Mas (PT K	KMG Jakarta (AI Da	No	7	4.65	0.123	0.859	0.205
BW Digital	BW DC	No	7	3.10	0.082	0.573	0.136
DCI Indonesia	E1 Data Center	No	7	3.10	0.082	0.573	0.136
Bitera (MMS Group Indonesia)	Bitera Jakarta	No	7	3.10	0.082	0.573	0.136
NTT DATA	Jakarta 3 (JKT3)	Yes	10	7.75	0.065	0.651	—
Tencent	Indonesia Expansio	Yes	10	7.75	0.065	0.651	—
K2 Strategic (K2 Data Centres / Si	K2 Karawang Campus	Yes	10	7.75	0.065	0.651	—
SpaceDC	ID01	No	7	2.76	0.073	0.510	0.121
Telkom Indonesia (NeutraDC)	Cikarang Expansion	Yes	10	7.44	0.062	0.625	—
IndoKeppel Data Centres	IKDC1	Yes	10	6.59	0.055	0.554	—
Digital Edge (Indonet)	EDGE1	No	7	2.33	0.062	0.431	0.103
Triputra Group	Triputra DC	No	7	2.33	0.062	0.431	0.103
EdgeConneX	Jakarta Campus	Yes	10	6.26	0.053	0.526	—
K2 Strategic (K2 Data Centres / Si	K2 JKT1	Yes	10	5.92	0.050	0.497	—
Pure Data Centres	Pure DC	No	7	2.17	0.057	0.401	0.095
DCI Indonesia	H2 Pertiwi Lestari	No	7	1.75	0.046	0.323	0.077
Princeton Digital Group	Cibitung Campus	No	7	1.71	0.045	0.316	0.076
Metta DC	ID01 (Jababeka)	No	7	1.50	0.040	0.277	0.066
Oracle	Indonesia North C1	Yes	7	3.10	0.026	0.182	—
SEAX Indonesia Pratama	SEAX DC (BSD Techn	No	7	1.40	0.037	0.259	0.062
Indosat-NVIDIA (Lintasarta)	AI Factory (GPU Me	Yes	7	3.88	0.033	0.228	—
ST Telemedia GDC	STT Jakarta-2	Yes	7	3.72	0.031	0.219	—
Digital Realty / Bersama Digital (	JBT1 (Jakarta Bara	Yes	7	3.10	0.026	0.182	—
Telkom Indonesia (NeutraDC)	NeutraDC Portfolio	Yes	7	2.60	0.022	0.153	—
Digital Realty / Bersama Digital (	CGK11	Yes	7	2.17	0.018	0.128	—
Biznet	Biznet DC (Technov	No	5	0.65	0.017	0.086	0.029
NTT DATA	Jakarta 2 Annex (J	Yes	7	1.58	0.013	0.093	—
Gaw Capital / Sinar Primera	Batam Phase 1	No	5	0.48	0.006	0.032	0.021
NTT DATA	Jakarta 2 (JKT2)	Yes	7	1.17	0.010	0.069	—
Equinix / Astra International	JK1	Yes	7	1.15	0.010	0.068	—
Digital Realty / Bersama Digital (	CGK10	Yes	5	0.93	0.008	0.039	—
EdgeConneX	GTN Cikarang	Yes	5	0.76	0.006	0.032	—
NTT DATA	Jakarta 1 (JKT1)	Yes	5	0.62	0.005	0.026	—
Datacomm	Datacomm DC (HQ +	No	5	0.16	0.002	0.011	0.007
Elitery Data Center	Elitery DC	No	0	0.06	0.000	0.000	—
Moratelindo (NDC)	NDC Jakarta	No	0	0.08	0.000	0.000	—
Total				385.81	7.720	118.705	10.977

Cum. CIT = CIT forgone over full holiday. SD = cumulative post-holiday investment allowance CIT cost (non-GMT only). Elitery/Moratelindo below IDR 100B threshold (no holiday). Galaxis excluded (undisclosed investment). CIT forfeited: 22% non-GMT; 7% GMT; 11% for 50%-reduction tier.

A Data Centre Inventory

Table 4 Indonesia Data Centre Inventory — Key Parameters

Operator	Facility	Status	MW	Inv. (IDR T)	Tier	GMT	SEZ
BDx Indonesia	CGK4 Jatiluhur	Planned	500	77.50	Above 30T	No	No
Digital Edge (Indonet)	CGK Campus	Under Construc	500	69.75	Above 30T	No	No
DAMAC Digital	Cikarang DC	Planned	144	35.65	Above 30T	Yes	No
Microsoft	Indonesia Central Cl	Under Construc	46	26.35	15T-30T	Yes	No
Princeton Digital Group	JC3	Operational	120	15.50	15T-30T	No	No
DCI Indonesia	H1 Campus	Under Construc	73	11.32	5T-15T	No	No
Princeton Digital Group	Batam Campus	Planned	96	10.42	5T-15T	No	Yes
NTT DATA	Jakarta 3 (JKT3)	Operational	45	7.75	5T-15T	Yes	No
Tencent	Indonesia Expansion	Planned	14	7.75	5T-15T	Yes	No
K2 Strategic (K2 Data Centres	K2 Karawang Campus	Planned	59	7.75	5T-15T	Yes	No
Telkom Indonesia (NeutraDC)	Cikarang Expansion	Under Construc	60	7.44	5T-15T	Yes	No
DayOne / INA JV	Nongsa Digital Park	Under Construc	72	6.70	5T-15T	No	Yes
IndoKeppel Data Centres	IKDC1	Under Construc	12	6.59	5T-15T	Yes	No
EdgeConneX	Jakarta Campus	Under Construc	200	6.26	5T-15T	Yes	No
Aslan Energy Capital	Aslan DC	Planned	40	6.20	5T-15T	No	No
K2 Strategic (K2 Data Centres	K2 JKT1	Operational	59	5.92	5T-15T	Yes	No
DCI Indonesia	JK5	Operational	36	5.58	5T-15T	No	No
DCI Indonesia	JK6	Operational	36	5.58	5T-15T	No	No
Digital Edge (Indonet)	EDGE2	Operational	23	5.04	5T-15T	No	No
DCI Indonesia	H2-02	Planned	30	4.65	1T-5T	No	No
Korea Investment / Sinar Mas (	KMG Jakarta (AI Data	Under Construc	18	4.65	1T-5T	No	No
Indosat-NVIDIA (Lintasarta)	AI Factory (GPU Merd	Operational	80	3.88	1T-5T	Yes	No
ST Telemedia GDC	STT Jakarta-2	Under Construc	24	3.72	1T-5T	Yes	No
BW Digital	BW DC	Planned	6	3.10	1T-5T	No	No
DCI Indonesia	E1 Data Center	Operational	18	3.10	1T-5T	No	No
Bitera (MMS Group Indonesia)	Bitera Jakarta	Operational	20	3.10	1T-5T	No	No
Oracle	Indonesia North Clou	Operational	120	3.10	1T-5T	Yes	Yes
Digital Realty / Bersama Digit	JBTL1 (Jakarta Barat	Operational	30	3.10	1T-5T	Yes	No
SpaceDC	ID01	Operational	25	2.76	1T-5T	No	No
Telkom Indonesia (NeutraDC)	NeutraDC Portfolio (	Operational	42	2.60	1T-5T	Yes	No
Digital Edge (Indonet)	EDGE1	Operational	15	2.33	1T-5T	No	No
Triputra Group	Triputra DC	Planned	4	2.33	1T-5T	No	No
Pure Data Centres	Pure DC	Operational	20	2.17	1T-5T	No	No
Digital Realty / Bersama Digit	CGK11	Planned	32	2.17	1T-5T	Yes	No
DCI Indonesia	H2 Pertiwi Lestari (	Under Construc	600	1.75	1T-5T	No	No
Princeton Digital Group	Cibitung Campus	Under Construc	22	1.71	1T-5T	No	No
NTT DATA	Jakarta 2 Annex (JKT	Under Construc	12	1.58	1T-5T	Yes	No
Metta DC	ID01 (Jababeka)	Operational	35	1.50	1T-5T	No	No
SEAX Indonesia Pratama	SEAX DC (BSD Technop	Operational	30	1.40	1T-5T	No	No
NTT DATA	Jakarta 2 (JKT2)	Operational	9	1.17	1T-5T	Yes	No
Equinix / Astra International	JK1	Operational	18	1.15	1T-5T	Yes	No
Digital Realty / Bersama Digit	CGK10	Operational	5	0.93	500B-1T	Yes	No
EdgeConneX	GTN Cikarang	Operational	90	0.76	500B-1T	Yes	No
Biznet	Biznet DC (Technovil	Operational	7	0.65	500B-1T	No	No
NTT DATA	Jakarta 1 (JKT1)	Operational	5	0.62	500B-1T	Yes	No
Gaw Capital / Sinar Primera	Batam Phase 1	Operational	20	0.48	100B-500B	No	Yes
Datacomm	Datacomm DC (HQ + Al	Operational	2	0.16	100B-500B	No	No
Moratelindo (NDC)	NDC Jakarta	Operational	1	0.08	Below 100B	No	No
Elitery Data Center	Elitery DC	Operational	1	0.06	Below 100B	No	No

MW = planned full capacity. Investment = planned investment where available. Galaxis excluded.

B Modelling Assumptions

Table 5 Key Modelling Assumptions

Parameter	Rationale	Value
<i>Financial</i>		
ROIC	DCI Indonesia (IDX: DCII) 2023 ROIC 14–16%; global DC sector 8–15%	12%
Exchange rate	Bank Indonesia 2024 annual average	IDR 15,800/USD
<i>CIT holiday</i>		
Non-GMT forgone	No QDMTT floor; full statutory CIT rate	22%
GMT forgone	Net of 15% QDMTT floor (PMK-136/2024, effective 1 Jan 2025)	7%
50%-reduction tier	IDR 100B–500B investment bracket	11%
Holiday duration	<IDR 100B: 0 yr; 100B–500B: 5 yr (50%); 500B–1T: 5 yr; 1T–5T: 7 yr; 5T–15T: 10 yr; 15T–30T: 15 yr; >30T: 20 yr	See tier
<i>Super deduction (GR 45/2019)</i>		
Investment allowance	5%/yr $\times$ 6 yr = 30% cumulative	5%/yr
Concurrency	PMK-153/2020 Art. 7: prohibited during CIT holiday	Zero during holiday
GMT post-holiday	QDMTT recaptures all base-erosion CIT saving	Zero net cost
Post-holiday window	2 yr at 11% (transition) + 3 yr at 22% (full)	5 years
<i>SEZ incentives</i>		
Equipment share	Capital equipment as share of total capex	35%
VAT rate	UU No. 7/2021	11%
Import duty	Blended rate, IT and electrical equipment	2.5%
<i>Scenarios</i>		
Scenario A: benchmark	Blended database ratio	IDR 111B/MW
Scenario A: GMT/non-GMT	Mirrors current database	42.9%/57.1%
Scenario A: holiday	New entrants	10 yr
Scenario B: VAT + Duty base	35% of Scenario A investment (350.7T)	IDR 122.7T
<i>Macroeconomic references</i>		
GDP 2024	BPS preliminary estimate	IDR 22,139T
Education budget	APBN 2024	IDR 670T

Sensitivity: ± 3 pp ROIC alters annual CIT by $\approx$ IDR ± 0.6 T. ± 5 pp equipment share alters SEZ costs by $\approx$ IDR ± 0.1 T. Treating pre-2025 holiday years for GMT operators at full 22% raises total cost by $\approx$ IDR 8–10T.